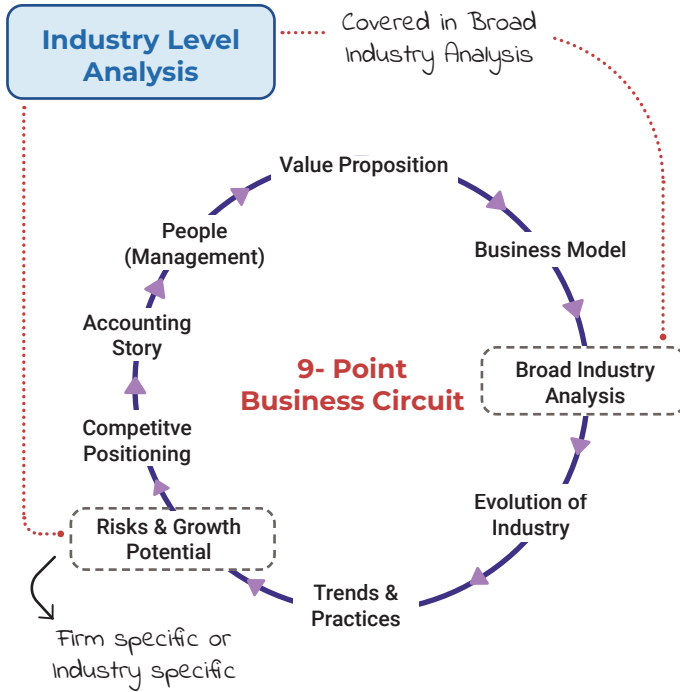




Risks associated with the industry must be revisited to sharpen the understanding after the collection of new information in the various stages of the 9-point analysis. The purpose is to make sure that any major risk relating to the industry does not go unnoticed. We can conclude the industry analysis by trying to understand its growth potential. The goal is to understand how firms grow in the industry and how the overall industry grows. The overall industry growth is what determines the potential market size (this was covered in the second tier of the broad industry analysis). It depends on factors such as:

- Population size
- Penetration rate
- Adoption ratio
- More uses of the same product
- Formalization of the industry

After finishing all the steps in the industry analysis, analysts and entrepreneurs should revisit the risks and growth potential while deciding to enter the industry. Risks relate to what could go against them in the industry. Also, a favorable growth outlook for the overall industry is good news for any firm operating in it. These two factors are crucial before making the final decision to enter the industry.